

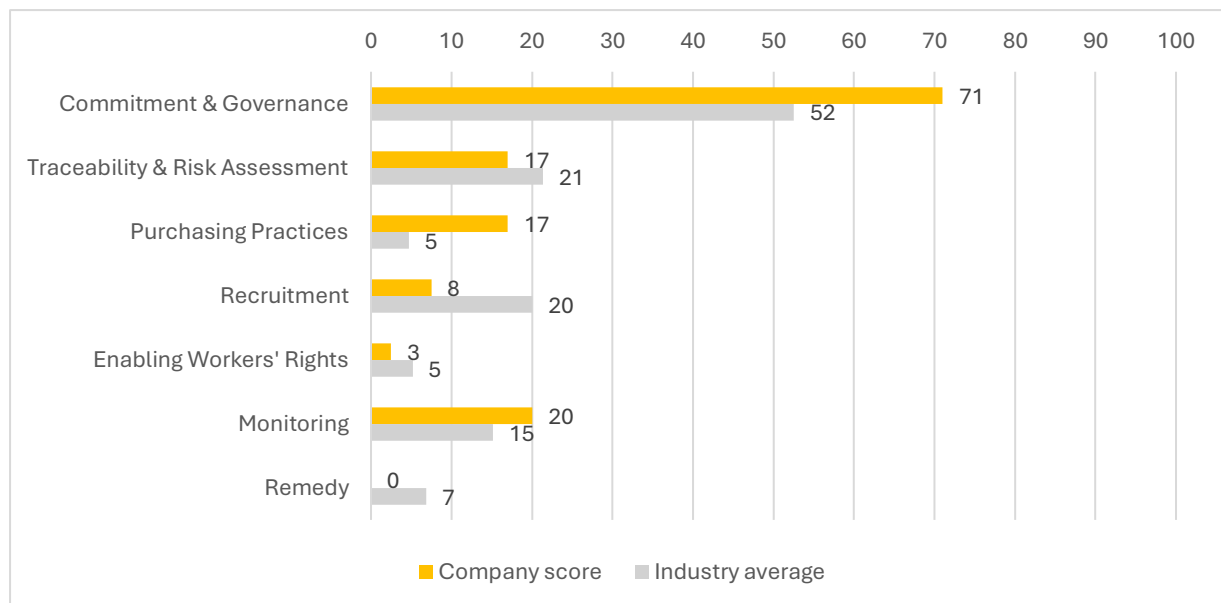
SK Hynix Inc. (SK Hynix)

TICKER
660

MARKET CAPITALISATION
US\$69.8 billion

HEADQUARTERS
South Korea

DISCLOSURES
UK Modern Slavery Act: [Yes](#)
California Transparency in Supply Chains Act: [Yes](#)
Australia Modern Slavery Act: Not applicable

OVERALL RANKING
19 out of 45
[2022 Rank:](#) 45 out of 60¹
OVERALL SCORE
20 out of 100
THEME-LEVEL SCORES

KEY DATA POINTS
FIRST-TIER SUPPLIER LIST
 No

RISK ASSESSMENT
 No

ENGAGED WITH KNOWTHECHAIN²

Yes

NO-FEE POLICY

Yes (Employer Pays Principle)

REMEDY FOR SUPPLY CHAIN WORKERS
 No

HIGH-RISK SOURCING COUNTRIES³
 Not disclosed

SUMMARY

SK Hynix Inc. (SK Hynix), a semiconductor company supplying to companies such as Apple, Dell, and Hewlett Packard Enterprise, ranks joint 19th out of 45 companies. Compared to 2022, the company improved its score by 11 points and is one of three top improvers in the benchmark. This is because the company began disclosing training for first- and second-tier suppliers on its supplier code of conduct, managerial implementation and board oversight of supply chain policies that address forced labour, data on the proportion of women and migrant workers in its supply chains, supplier payment terms, an updated policy on worker-paid recruitment fees, and social audit findings related to labour rights issues.

The company performed above average on the themes of Commitment & Governance, Purchasing Practices and Monitoring. The company scored particularly poorly on the theme of Remedy, scoring zero. Additional steps the company could take to address forced labour risks in its supply chains include strengthening its disclosure and practices on the themes of Traceability & Risk Assessment, Enabling Workers' Rights and Remedy.

LEADING PRACTICES

Purchasing Practices: SK Hynix states that it has set its payment terms so that small and medium-sized suppliers who are vulnerable to factors such as short term demands, and pricing policies can receive faster payment: "SK Hynix ensures cash payments within 10 days based on the tax invoices issued through the win-win payment system. As of 2023, the average payment period was calculated to be within 9.5 days."

OPPORTUNITIES FOR IMPROVEMENT

Traceability & Risk Assessment: The company is encouraged to demonstrate a strong understanding of its supply chains by disclosing the names and addresses of its first-tier suppliers (either across high-risk raw materials or across all first-tier suppliers), and the countries from which it sources raw materials at high risk of forced labour. It is further encouraged to assess and disclose forced labour risks across different tiers of its supply chains. It is further encouraged to disclose how it engages with relevant stakeholders including workers, unions, and civil society organisations to address forced labour risks identified.

Enabling Workers' Rights: To support collective worker empowerment, the company is encouraged to work with local or global trade unions to support freedom of association in its supply chains. Further, the company is encouraged to disclose examples, covering different supply chain contexts, of how it improved freedom of association and/or collective bargaining for its suppliers' workers. The company is also encouraged to disclose the percentage of suppliers' workers covered by collective bargaining agreements. To guarantee protections for supply chain workers on freedom of association and collective bargaining, the company may consider entering into a global framework agreement or enforceable supply chain labour rights agreements with trade unions or worker organisations.

Remedy: The company may consider establishing a process to ensure that remedy is provided to workers in its supply chains in cases of forced labour and disclosing details on this process, such as responsible parties, approval procedures, timeframes, and, crucially, engagement with affected stakeholders. To demonstrate to its stakeholders that it has an

effective remedy process in place, the company is encouraged to disclose examples of remedy provided to its suppliers' workers.

¹ The number of companies assessed in the ranking has decreased from 60 in 2022 to 45 in 2025.

² Research conducted through September 2024 or through December 2024, where companies provided additional disclosure or links. For more information, see the full dataset [here](#). For information on a company's positive and negative human rights impact, see the Business & Human Rights Resource Centre [website](#).

³ For further details on high-risk raw materials and sourcing countries, see KnowTheChain's [2025 ICT benchmark findings report](#).